Switch-in DID Before and After Baseline Matching

Panel A: Unmatched stacked comparison / columns 1–4

	Any failure / strict	Restatement / strict	Violation	Any failure / middle
	(1)	(2)	(3)	(4)
Reported effect	-0.016	-0.008	-0.006	-0.075***
	(0.012)	(0.009)	(0.011)	(0.018)
p	0.193	0.325	0.569	< 0.001
95% CI	[-0.040, 0.008]	[-0.025, 0.008]	[-0.027, 0.015]	[-0.110, -0.040]
Observations	256,097	256,097	256,097	256,097

Panel A: Unmatched stacked comparison / columns 5–7

	Restatement / middle	Any failure / broad	Restatement / broad
	(5)	(6)	(7)
Reported effect	-0.073***	-0.083***	-0.078***
	(0.016)	(0.022)	(0.021)
p	< 0.001	< 0.001	< 0.001
95% CI	[-0.105, -0.041]	[-0.126, -0.041]	[-0.119, -0.036]
Observations	256,097	256,097	256,097

Panel B: Matched weighted DID / columns 1–4

	Any failure / strict	Restatement / strict	Violation	Any failure / middle
	(1)	(2)	(3)	(4)
Reported effect	-0.053**	-0.025	-0.034	-0.118***
	(0.026)	(0.016)	(0.021)	(0.038)
p	0.040	0.120	0.106	0.002
95% CI	[-0.103, -0.002]	[-0.056, 0.007]	[-0.076, 0.007]	[-0.193, -0.044]
Observations	1,194	1,194	1,194	1,194

Panel B: Matched weighted DID / columns 5–7

	Restatement / middle	Any failure / broad	Restatement / broad
	(5)	(6)	(7)
Reported effect	-0.091***	-0.079	-0.050
	(0.031)	(0.049)	(0.044)
p	0.004	0.107	0.260
95% CI	[-0.152, -0.030]	[-0.174, 0.017]	[-0.137, 0.037]
Observations	1,194	1,194	1,194

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.